



**Bill Number: S.B. 1075**

**Ortiz Floor Amendment**

**Reference to: printed bill**

**Amendment drafted by: Leg. Council**

## **FLOOR AMENDMENT EXPLANATION**

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1. Caps, at five percent of the total number of single-family residences in any census tract, the total number of single-family residences located in Arizona that may be purchased by a corporation or a limited liability company (LLC) or an affiliate of a corporation or an LLC in that census tract.
2. Caps, at 50 units per calendar year, the total number of single-family residences in Arizona that may be purchased by a corporation or LLC.
3. Prohibits a corporation or LLC from owning more than 2,000 single-family residences in Arizona.
4. Outlines requirements for a corporation or LLC registering with the Securities Division of the Arizona Corporation Commission (ACC) before purchasing a single-family residence in Arizona.
5. Exempts, from the registration requirements:
  - a) a corporation or LLC or an affiliate of a corporation or LLC that owns less than 10 single-family residences in Arizona;
  - b) a governmental entity;
  - c) any 501(c)(3) nonprofit;
  - d) a land trust;
  - e) a group home; and
  - f) an employer that rents residences to employees.
6. Requires the ACC, beginning February 1, 2027, to annually report of any corporation or LLC that purchased or sold a single-family resident in the previous year.
7. Prohibits a single-family residence from being conveyed to a hostile foreign entity without majority approval of the Legislature.
8. Defines terms.

ORTIZ FLOOR AMENDMENT  
SENATE AMENDMENTS TO S.B. 1075  
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Title 33, chapter 4, article 1, Arizona Revised  
3 Statutes, is amended by adding section 33-401.01, to read:

4 33-401.01. Single-family residence purchases; corporate  
5 buyer; county recorder; deed; requirements;  
6 exception; definitions

7 [A. IF A CORPORATION OR A LIMITED LIABILITY COMPANY OR AN AFFILIATE  
8 OF A CORPORATION OR A LIMITED LIABILITY COMPANY PURCHASES A SINGLE-FAMILY  
9 RESIDENCE:

10 1. THE COUNTY RECORDER MAY NOT RECORD THE DEED UNLESS BOTH OF THE  
11 FOLLOWING OCCUR:

12 (a) THE DEED THAT CONTAINS THE INFORMATION ABOUT THE OWNERSHIP OF  
13 THE CORPORATION OR THE LIMITED LIABILITY COMPANY OR THE AFFILIATE OF THE  
14 CORPORATION OR THE LIMITED LIABILITY COMPANY IS REGISTERED PURSUANT TO  
15 SECTION 44-4003.

16 (b) THE CORPORATION OR THE LIMITED LIABILITY COMPANY OR THE  
17 AFFILIATE OF THE CORPORATION OR THE LIMITED LIABILITY COMPANY SUBMITS TO  
18 THE COUNTY RECORDER A COPY OF THE CERTIFICATE OF REGISTRATION ISSUED BY  
19 THE CORPORATION COMMISSION PURSUANT TO SECTION 44-4003 AND THE NAME OF THE  
20 CORPORATION OR THE LIMITED LIABILITY COMPANY OR THE AFFILIATE OF THE  
21 CORPORATION OR THE LIMITED LIABILITY COMPANY ON THE DEED MATCHES THE NAME  
22 ON THE CERTIFICATE OF REGISTRATION ACCOMPANYING THE DEED.

23 2. THE DEED MUST CLEARLY STATE THAT THE SINGLE-FAMILY RESIDENCE IS  
24 NOT THE PRIMARY RESIDENCE OF THE OWNER.

25 B. THE COUNTY RECORDER SHALL SUBMIT MONTHLY REPORTS TO THE  
26 CORPORATION COMMISSION THAT NAME EACH CORPORATION OR LIMITED LIABILITY  
27 COMPANY THAT PURCHASED A SINGLE-FAMILY RESIDENCE IN THE PRECEDING MONTH  
28 AND THE NUMBER OF SINGLE-FAMILY RESIDENCES PURCHASED BY EACH CORPORATION  
29 AND LIMITED LIABILITY COMPANY.

1 C. SUBSECTION A OF THIS SECTION DOES NOT APPLY TO A CORPORATION OR  
2 A LIMITED LIABILITY COMPANY OR AN AFFILIATE OF A CORPORATION OR A LIMITED  
3 LIABILITY COMPANY THAT OWNS FEWER THAN TEN SINGLE-FAMILY RESIDENCES  
4 LOCATED IN THIS STATE.

5 D. FOR THE PURPOSES OF THIS SECTION:

6 1. "CORPORATION" HAS THE SAME MEANING PRESCRIBED IN SECTION  
7 44-4001.

8 2. "LIMITED LIABILITY COMPANY" HAS THE SAME MEANING PRESCRIBED IN  
9 SECTION 44-4001.

10 3. "SINGLE-FAMILY RESIDENCE":

11 (a) MEANS A STRUCTURE THAT IS MAINTAINED AND USED AS A SINGLE  
12 DETACHED DWELLING UNIT.

13 (b) DOES NOT INCLUDE A DWELLING UNIT THAT SHARES ONE OR MORE WALLS  
14 WITH ANOTHER DWELLING UNIT.]>>

15 Sec. 2. Title 33, chapter 4, article 4, Arizona Revised Statutes,  
16 is amended by adding section 33-459, to read:

17 33-459. Conveyance to foreign entity; prohibition;  
18 identification; definitions

19 A. BEGINNING ON THE EFFECTIVE DATE OF THIS SECTION, LAND IN THIS  
20 STATE[, INCLUDING A SINGLE-FAMILY RESIDENCE] MAY NOT BE CONVEYED TO A  
21 HOSTILE FOREIGN ENTITY WITHOUT MAJORITY APPROVAL OF BOTH THE SENATE AND  
22 THE HOUSE OF REPRESENTATIVES.

23 B. A GRANTOR IN THIS STATE AND THE GRANTOR'S AGENT, INCLUDING A  
24 REAL ESTATE PROFESSIONAL LICENSED PURSUANT TO TITLE 32, CHAPTER 20, SHALL  
25 SUBMIT TO THE STATE REAL ESTATE DEPARTMENT A VALID IDENTIFICATION OF ANY  
26 GRANTEE. IF THE GRANTEE IS NOT A NATURAL PERSON, THE GRANTOR AND THE  
27 GRANTOR'S AGENT SHALL SUBMIT A VALID IDENTIFICATION OF THE GRANTEE'S AGENT  
28 AND THE NAME AND PRINCIPAL PLACE OF BUSINESS OF THE GRANTEE. THE GRANTOR,  
29 THE GRANTOR'S AGENT AND THE STATE REAL ESTATE DEPARTMENT SHALL MAINTAIN A  
30 COPY OF THE IDENTIFICATION PROVIDED BY THE GRANTEE OR, IF THE GRANTEE IS  
31 NOT A NATURAL PERSON, THE IDENTIFICATION OF THE GRANTEE'S AGENT AND THE  
32 GRANTEE'S NAME AND PRINCIPAL PLACE OF BUSINESS.

33 C. IDENTIFICATION IS DEEMED VALID UNLESS IT CAN BE DETERMINED ON  
34 ITS FACE THAT THE IDENTIFICATION HAS EXPIRED.

35 D. FOR THE PURPOSES OF THIS SECTION:

36 1. "FOREIGN ENTITY" MEANS A FOREIGN GOVERNMENT, A STATE-CONTROLLED  
37 ENTERPRISE OF A FOREIGN GOVERNMENT OR AN ENTITY ACTING AS AN AGENT FOR A  
38 FOREIGN GOVERNMENT OR STATE-CONTROLLED ENTERPRISE OF A FOREIGN GOVERNMENT.

39 2. "HOSTILE" MEANS A FOREIGN ENTITY THAT IS LISTED AS A THREAT OR A  
40 COUNTRY OF CONCERN BY THE DIRECTOR OF NATIONAL INTELLIGENCE OR THE UNITED  
41 STATES DEPARTMENT OF STATE.

42 3. "VALID IDENTIFICATION" INCLUDES:

43 (a) ANY DOCUMENT THAT BEARS THE PHOTOGRAPH, NAME AND ADDRESS OF THE  
44 GRANTEE OR IF THE GRANTEE IS NOT A NATURAL PERSON, THE GRANTEE'S AGENT.

45 (b) AN ARIZONA DRIVER LICENSE, AN ARIZONA NONOPERATING  
46 IDENTIFICATION LICENSE, A TRIBAL ENROLLMENT CARD OR ANOTHER FORM OF TRIBAL

1 IDENTIFICATION OR A UNITED STATES, STATE OR LOCAL GOVERNMENT-ISSUED  
2 IDENTIFICATION.

3 Sec. 3. Section 37-231, Arizona Revised Statutes, is amended to  
4 read:

5 37-231. State lands subject to sale; rights reserved in lands  
6 sold; state lands not subject to sale; development  
7 agreements

8 A. All state lands, except as otherwise provided for in this title,  
9 including all improvements made or placed on or connected with state  
10 lands, shall be subject to appraisal and sale as provided in this title.

11 B. Any person over eighteen years of age is entitled to purchase  
12 any of the state lands EXCEPT AS PROVIDED IN SECTION 37-240.

13 C. All sales, grants, deeds or patents to any state lands sold  
14 between July 9, 1954 and March 18, 1968 shall be subject to and shall  
15 contain a reservation to ~~the~~ THIS state of an undivided one-sixteenth of  
16 all oil, gases and other hydrocarbon substances, coal or stone, metals,  
17 minerals, fossils and fertilizer of every name and description, together  
18 with all uranium, all thorium, or any other material ~~which~~ THAT is or may  
19 be determined by the laws of ~~the~~ THIS state or the United States or  
20 decisions of courts to be peculiarly essential to the production of  
21 fissionable materials, whether or not of commercial value, subject to the  
22 following:

23 1. ~~For the purpose of promoting~~ TO PROMOTE the sale of state lands  
24 and the more active cooperation of the owner of the soil, and to  
25 facilitate the development of its mineral resources, ~~the~~ THIS state  
26 constitutes the purchaser of the land its agent for the purposes specified  
27 in this section, and in consideration hereof, relinquishes to and vests in  
28 the purchaser of the state land an undivided fifteen-sixteenths of all  
29 oil, gas and the value thereof which may be ~~upon~~ ON or within any state  
30 land purchased after July 9, 1954 and before March 18, 1968.

31 2. The purchaser of the soil may sell or lease to any person, firm  
32 or corporation the oil and gas and other minerals ~~which~~ THAT may be on or  
33 in the land, ~~upon~~ ON terms and conditions THAT the purchaser and the owner  
34 deem best, subject to the provisions and reservations of this section, but  
35 the lessee or purchaser shall pay to ~~the~~ THIS state an undivided  
36 one-sixteenth of the mineral produced or the value of the mineral produced  
37 at the well or mine as determined by the ~~state land~~ department.

38 3. ~~Upon~~ ON discovery of oil and gas in paying quantities on land  
39 adjoining state lands purchased under the authority of this section, the  
40 purchaser or the purchaser's lessee shall drill and produce all wells  
41 necessary to protect the land so purchased from drainage by wells on lands  
42 in which ~~the~~ THIS state has no royalty interest, ~~or~~ has a lesser royalty  
43 interest. If the purchaser or the purchaser's lessee fails to protect  
44 against such drainage, ~~the~~ THIS state, acting through the ~~state land~~  
45 department, ~~may~~, three months after demand therefor in writing by the  
46 ~~state land~~ department to such purchaser and the purchaser's lessee, MAY

1 enter ~~upon~~ ON such lands and drill all wells necessary to protect ~~the~~ THIS  
2 state against such drainage.

3       4. The interest reserved by ~~the~~ THIS state in any state lands sold  
4 may be committed to a drilling unit or cooperative or unit plans of  
5 development and operation of oil and gas pools with the United States, its  
6 agencies and its and their lessees and permittees, and with private owners  
7 and persons holding oil and gas leases on private lands or on state  
8 lands. The ~~state land~~ department ~~may~~, insofar as the interest of ~~the~~ THIS  
9 state may be affected thereby, MAY join in and consent to any such plan on  
10 behalf of ~~the~~ THIS state. Such agreements shall provide for the equitable  
11 division on an agreed basis of the oil and gas produced from the unit, but  
12 ~~no~~ such agreement shall NOT relieve any operator from the obligation to  
13 develop reasonably the lands and leases as a whole committed thereto. The  
14 royalties to which ~~the~~ THIS state is entitled on production from land  
15 purchased under this section shall be computed only on that part of the  
16 production allocated to such tract. When the agreements made under this  
17 section provide for the return of gas to a formation underlying the unit,  
18 they may provide that no royalties are required to be paid on the gas so  
19 returned.

20       D. State lands known to contain oil, gases and other hydrocarbon  
21 substances, geothermal resources, coal or stone, metals, minerals, fossils  
22 and fertilizer of every name and description, in paying quantities, or  
23 uranium, thorium or any other material ~~which~~ THAT is or may be determined  
24 by the laws of ~~the~~ THIS state OR the United States or BY decisions of  
25 court to be peculiarly essential to the production of fissionable  
26 materials, whether or not of commercial value, and state lands adjoining  
27 lands ~~upon~~ ON which there are producing oil, gas or geothermal wells or  
28 adjoining lands known to contain any of such substances in paying  
29 quantities, or uranium, thorium or any other material peculiarly essential  
30 to the production of fissionable materials, whether or not of commercial  
31 value, shall not be sold. The prohibition against sale shall not operate  
32 to prevent the sale of lands known to contain, in paying quantities,  
33 common variety minerals as defined in section 27-271 or to prevent the  
34 sale of lands where ~~the~~ THIS state does not own such substances, minerals  
35 or metals in the lands sought to be sold. ~~The provisions of~~ This  
36 subsection ~~shall~~ DOES not prohibit the sale of such lands located within  
37 the exterior boundaries of an incorporated city or town, in which case the  
38 commissioner may offer the land for sale, provided the land shall be used  
39 solely for a public purpose. Such land shall revert to ~~the~~ THIS state if  
40 it is used other than for a public purpose.

41       E. Notwithstanding ~~the provisions of~~ subsection C of this section,  
42 all state lands sold after March 18, 1968 shall be sold with the  
43 reservation that all oil, gas, other hydrocarbon substances, helium or  
44 other substances of a gaseous nature, geothermal resources, coal, metals,  
45 minerals, fossils, fertilizer of every name and description, together with  
46 all uranium, all thorium or any other material ~~which~~ THAT is or may be  
47 determined by the laws of the United States or of this state, ~~or~~ or BY

1 decisions of court, to be peculiarly essential to the production of  
2 fissionable materials, whether or not of commercial value, and the  
3 exclusive right thereto, on, in, or under such land, shall be and remain  
4 and be reserved in and retained by the THIS state, regardless of any sale  
5 under this section and the issuance of any certificate of purchase to any  
6 purchaser of state lands pursuant to this section, provided, that the  
7 reservation shall not include common variety minerals as defined in  
8 section 27-271, subject to the following:

9 1. The ~~state-land~~ department shall adopt rules providing for the  
10 protection of the patentee or contract purchaser of state lands, or their  
11 successors in interest, and the THIS state ~~of Arizona~~, against damage to  
12 the lands, livestock, water, crops, or other tangible improvements on  
13 lands held by such patentee or contract purchaser, and suffered by reason  
14 of the use or occupation of such lands by lessees or permittees engaged in  
15 mining and oil, gas and geothermal resource exploration and development  
16 under leases or permits executed by the department. The ~~state-land~~  
17 department may, at any time, MAY require each of its lessees or permittees  
18 to execute a bond in a reasonable principal amount conditioned upon ON  
19 payment for all such damages.

20 2. The mineral rights reserved to the THIS state in the lands sold  
21 shall be closed to entry and location as a mineral claim or claims, but  
22 the department may issue, upon ON application, mineral exploration permits  
23 embracing the reserved mineral rights when such issuance is deemed in the  
24 best interest of the THIS state, provided that the surface owner or owners  
25 shall have the first right of refusal to acquire such mineral exploration  
26 permits.

27 Sec. 4. Section 37-240, Arizona Revised Statutes, is amended to  
28 read:

29 37-240. Limits on sales of state lands; definitions

30 A. ~~No~~ A person may NOT purchase more than six hundred forty acres  
31 of grazing land, or more than one hundred sixty acres of agricultural  
32 land.

33 B. ~~No Sales, leases or subleases~~ of state lands ~~shall~~ MAY NOT be  
34 made to ~~corporations~~ A CORPORATION or ~~associations~~ ASSOCIATION THAT IS not  
35 qualified to transact business in the THIS state.

36 C. BEGINNING ON THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS  
37 SECTION, SALES OF STATE LANDS MAY NOT BE MADE TO A HOSTILE FOREIGN ENTITY  
38 WITHOUT THE MAJORITY APPROVAL OF BOTH THE SENATE AND THE HOUSE OF  
39 REPRESENTATIVES.

40 D. FOR THE PURPOSES OF THIS SECTION:

41 1. "FOREIGN ENTITY" MEANS A FOREIGN GOVERNMENT, A STATE-CONTROLLED  
42 ENTERPRISE OF A FOREIGN GOVERNMENT OR AN ENTITY ACTING AS AN AGENT FOR A  
43 FOREIGN GOVERNMENT OR STATE-CONTROLLED ENTERPRISE OF A FOREIGN GOVERNMENT.

44 2. "HOSTILE" MEANS A FOREIGN ENTITY THAT IS LISTED AS A THREAT OR A  
45 COUNTRY OF CONCERN BY THE DIRECTOR OF NATIONAL INTELLIGENCE OR THE UNITED  
46 STATES DEPARTMENT OF STATE.

1 <<Sec. 5. Section 41-3955, Arizona Revised Statutes, is amended to  
2 read:

3 41-3955. Housing trust fund; purpose; annual report

4 A. The housing trust fund is established, and the director shall  
5 administer the fund. The fund consists of monies from unclaimed property  
6 deposited in the fund pursuant to section 44-313, [MONIES DEPOSITED IN THE  
7 FUND PURSUANT TO SECTION 44-4003.] monies transferred pursuant to section  
8 35-751 and investment earnings.

9 B. On notice from the department, the state treasurer shall invest  
10 and divest monies in the fund as provided by section 35-313, and monies  
11 earned from investment shall be credited to the fund.

12 C. Except as provided in subsection D of this section, fund monies  
13 shall be spent on approval of the department for developing projects and  
14 programs connected with providing housing opportunities for low and  
15 moderate income households and for housing affordability programs. A  
16 portion of fund monies shall be used exclusively for housing in rural  
17 areas.

18 D. Fund monies may be spent on constructing or renovating  
19 facilities and on housing assistance, including support services. Fund  
20 monies shall be awarded in the following order of priority for the first  
21 four months of each fiscal year:

22 1. Constructing or renovating emergency shelter facilities or for  
23 any operational expenses for emergency shelter services.

24 2. Constructing or renovating transitional housing units.

25 3. Constructing or renovating other types of shelter or housing as  
26 determined by the department to best serve the needs of individuals who  
27 have been determined to be seriously mentally ill and chronically  
28 resistant to treatment.

29 E. For the purposes of subsection C of this section, in approving  
30 the expenditure of monies, the director shall give priority to funding  
31 projects that provide for operating, constructing or renovating facilities  
32 for housing for low-income families and that provide housing and shelter  
33 to families that have children.

34 F. After the four-month period prescribed in subsection D of this  
35 section, fund monies that have not been awarded or encumbered pursuant to  
36 the priority list prescribed in subsection D of this section may be spent  
37 based on stakeholder feedback.

38 G. The department shall submit for review by the joint legislative  
39 budget committee all programs established by the department and funded by  
40 the housing trust fund pursuant to this section.

41 H. The director shall report annually to the legislature on the  
42 status of the housing trust fund. The report shall include a summary of  
43 facilities for which funding was provided during the preceding fiscal year  
44 and shall show the cost and geographic location of each facility and the  
45 number of individuals benefiting from the operation, construction or  
46 renovation of the facility. The report shall also include the number of  
47 individuals who benefit from housing assistance pursuant to subsection D

1 of this section. The report shall be submitted to the president of the  
2 senate and the speaker of the house of representatives, and a copy  
3 provided to the secretary of state, not later than September 1 of each  
4 year.

5 I. Monies in the housing trust fund are exempt from the provisions  
6 of section 35-190 relating to lapsing of appropriations.

7 J. An amount not to exceed ten percent of the housing trust fund  
8 monies may be appropriated annually by the legislature to the department  
9 for administrative costs in providing services relating to the housing  
10 trust fund.

11 K. For any construction project financed by the department pursuant  
12 to this section, the department shall notify a city, town, county or  
13 tribal government that a project is planned for its jurisdiction and,  
14 before proceeding, shall seek comment from the governing body of the city,  
15 town, county or tribal government or an official authorized by the  
16 governing body of the city, town, county or tribal government. The  
17 department shall not interfere with or attempt to override the local  
18 jurisdiction's planning, zoning or land use regulations.>>

19 <<Sec. 6. Title 44, Arizona Revised Statutes, is amended by adding  
20 chapter 14, to read:

21 CHAPTER 14

22 SINGLE-FAMILY RESIDENCE PURCHASES

23 ARTICLE 1. GENERAL PROVISIONS

24 44-4001. Definitions

25 [IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

26 1. "COMMISSION" MEANS THE CORPORATION COMMISSION.

27 2. "CORPORATION":

28 (a) MEANS A CORPORATION THAT IS ORGANIZED PURSUANT TO TITLE 10.

29 (b) DOES NOT INCLUDE A HOUSING AUTHORITY AS DEFINED IN SECTION  
30 36-1401.

31 3. "LIMITED LIABILITY COMPANY" MEANS A LIMITED LIABILITY COMPANY  
32 THAT IS ORGANIZED BY FILING ARTICLES OF ORGANIZATION WITH THE COMMISSION  
33 PURSUANT TO TITLE 29.

34 4. "SINGLE-FAMILY RESIDENCE":

35 (a) MEANS A STRUCTURE THAT IS MAINTAINED AND USED AS A SINGLE  
36 DETACHED DWELLING UNIT.

37 (b) DOES NOT INCLUDE A DWELLING UNIT THAT SHARES ONE OR MORE WALLS  
38 WITH ANOTHER DWELLING UNIT.]

39 44-4002. Corporations; limited liability companies;  
40 affiliates; single-family residence purchases;  
41 limits; rules; exceptions; attorney general

42 [A. EXCEPT AS PROVIDED IN SUBSECTION D OF THIS SECTION:

43 1. THE TOTAL NUMBER OF SINGLE-FAMILY RESIDENCES LOCATED IN THIS  
44 STATE THAT MAY BE PURCHASED BY A CORPORATION OR A LIMITED LIABILITY  
45 COMPANY OR AN AFFILIATE OF A CORPORATION OR A LIMITED LIABILITY COMPANY IN  
46 ANY CENSUS TRACT MAY NOT EXCEED FIVE PERCENT OF THE TOTAL NUMBER OF  
47 SINGLE-FAMILY RESIDENCES IN THAT CENSUS TRACT.



1       2. THE TOTAL NUMBER OF SINGLE-FAMILY RESIDENCES THAT MAY BE  
2 PURCHASED IN THIS STATE BY A CORPORATION OR A LIMITED LIABILITY COMPANY IS  
3 FIFTY UNITS PER CALENDAR YEAR.

4       B. A CORPORATION OR LIMITED LIABILITY COMPANY MAY NOT OWN MORE THAN  
5 TWO THOUSAND SINGLE-FAMILY RESIDENCES IN THIS STATE.

6       C. THE COMMISSION SHALL ADOPT RULES NECESSARY TO CARRY OUT THIS  
7 SECTION.

8       D. SUBSECTION A OF THIS SECTION DOES NOT APPLY TO THE SALE OR  
9 TRANSFER OF SINGLE-FAMILY RESIDENCES WITHIN A CORPORATION OR A LIMITED  
10 LIABILITY COMPANY.

11       E. THE ATTORNEY GENERAL MAY ENFORCE THIS SECTION PURSUANT TO TITLE  
12 44, CHAPTER 10, ARTICLE 7.]

13       44-4003. Corporations; limited liability companies;  
14 affiliates; single-family residence purchases;  
15 registration; limits; exceptions; civil penalty;  
16 rules; attorney general

17       [A. A CORPORATION OR A LIMITED LIABILITY COMPANY OR AN AFFILIATE OF  
18 A CORPORATION OR A LIMITED LIABILITY COMPANY SHALL REGISTER WITH THE  
19 SECURITIES DIVISION OF THE COMMISSION BEFORE PURCHASING A SINGLE-FAMILY  
20 RESIDENCE LOCATED IN THIS STATE. THE REGISTRATION MUST INCLUDE THE NAME  
21 UNDER WHICH THE CORPORATION OR LIMITED LIABILITY COMPANY OR THE AFFILIATE  
22 OF THE CORPORATION OR LIMITED LIABILITY COMPANY CONDUCTS BUSINESS AND ANY  
23 BENEFICIAL OWNERS OF THE CORPORATION OR LIMITED LIABILITY COMPANY OR  
24 AFFILIATE OF THE CORPORATION OR LIMITED LIABILITY COMPANY. AN ENTITY THAT  
25 IS REQUIRED TO REGISTER PURSUANT TO THIS SUBSECTION SHALL FILE AN ANNUAL  
26 REPORT WITH THE SECURITIES DIVISION OF THE COMMISSION THAT PROVIDES ANY  
27 CHANGE IN THE ENTITY'S REGISTRATION INFORMATION AND THAT CONFIRMS THAT THE  
28 INFORMATION IS ACCURATE AND COMPLETE.

29       B. THE COMMISSION MAY CHARGE A FEE FOR THE REGISTRATION IN AN  
30 AMOUNT TO BE DETERMINED BY THE COMMISSION.

31       C. THE COMMISSION SHALL ISSUE A CERTIFICATE OF REGISTRATION TO EACH  
32 CORPORATION OR EACH LIMITED LIABILITY COMPANY OR AN AFFILIATE OF A  
33 CORPORATION OR A LIMITED LIABILITY COMPANY THAT REGISTERS PURSUANT TO THIS  
34 SECTION.

35       D. THE REGISTRATION REQUIREMENT DOES NOT APPLY TO ANY OF THE  
36 FOLLOWING:

37       1. A CORPORATION OR A LIMITED LIABILITY COMPANY OR AN AFFILIATE OF  
38 A CORPORATION OR A LIMITED LIABILITY COMPANY THAT OWNS FEWER THAN TEN  
39 SINGLE-FAMILY RESIDENCES LOCATED IN THIS STATE.

40       2. A GOVERNMENTAL ENTITY. FOR THE PURPOSES OF THIS PARAGRAPH,  
41 "GOVERNMENTAL ENTITY" MEANS THIS STATE OR ANY COUNTY, CITY, TOWN OR OTHER  
42 POLITICAL SUBDIVISION OF THIS STATE.

43       3. ANY NONPROFIT GROUP THAT IS RECOGNIZED BY THE UNITED STATES  
44 INTERNAL REVENUE SERVICE UNDER SECTION 501(C)(3) OF THE INTERNAL REVENUE  
45 CODE.

46       4. A LAND TRUST.

1       5. A GROUP HOME. FOR THE PURPOSES OF THIS PARAGRAPH, "GROUP HOME"  
2 MEANS A HOME THAT IS CERTIFIED PURSUANT TO TITLE 36, CHAPTER 7.1,  
3 ARTICLE 4.

4       6. AN EMPLOYER THAT RENTS SINGLE-FAMILY RESIDENCES TO EMPLOYEES.

5       E. THE SECURITIES DIVISION OF THE COMMISSION SHALL ESTABLISH AND  
6 MAINTAIN A REGISTRY OF CORPORATIONS AND LIMITED LIABILITY COMPANIES AND  
7 AFFILIATES OF THE CORPORATIONS AND THE LIMITED LIABILITY COMPANIES THAT  
8 PURCHASE OR OWN SINGLE-FAMILY RESIDENCES LOCATED IN THIS STATE. THE  
9 SECURITIES DIVISION OF THE COMMISSION SHALL MAKE THE REGISTRY AVAILABLE ON  
10 THE COMMISSION'S WEBSITE AND SHALL PROVIDE THE REGISTRATION INFORMATION TO  
11 THE ATTORNEY GENERAL.

12       F. A CORPORATION OR A LIMITED LIABILITY COMPANY OR AN AFFILIATE OF  
13 A CORPORATION OR A LIMITED LIABILITY COMPANY THAT DOES NOT REGISTER WITH  
14 THE SECURITIES DIVISION IN COMPLIANCE WITH THIS SECTION OR THAT  
15 INTENTIONALLY PROVIDES MISLEADING INFORMATION ON THE APPLICATION IS IN  
16 VIOLATION OF THIS SECTION, AND THE COMMISSION SHALL PROVIDE NOTICE AND AN  
17 OPPORTUNITY FOR A FORMAL HEARING. IF A CORPORATION OR A LIMITED LIABILITY  
18 COMPANY OR AN AFFILIATE OF A CORPORATION OR A LIMITED LIABILITY COMPANY IS  
19 FOUND TO BE IN VIOLATION OF THIS SECTION AFTER A FORMAL HEARING, THE  
20 COMMISSION SHALL IMPOSE A CIVIL PENALTY OF NOT MORE THAN \$20,000 FOR EACH  
21 VIOLATION. THE COMMISSION SHALL DEPOSIT, PURSUANT TO SECTIONS 35-146 AND  
22 35-147, PENALTIES COLLECTED PURSUANT TO THIS SECTION IN THE HOUSING TRUST  
23 FUND ESTABLISHED BY SECTION 41-3955. A VIOLATION OF THIS SECTION DOES NOT  
24 APPLY TO EXCUSABLE NEGLECT.

25       G. THE COMMISSION SHALL ADOPT RULES NECESSARY TO CARRY OUT THIS  
26 SECTION.

27       H. THE ATTORNEY GENERAL MAY ENFORCE THIS SECTION PURSUANT TO TITLE  
28 44, CHAPTER 10, ARTICLE 7.]

29       44-4004. Annual report

30       [ON OR BEFORE JANUARY 31, 2027 AND EACH YEAR THEREAFTER, THE  
31 COMMISSION SHALL SUBMIT A REPORT TO THE GOVERNOR, THE PRESIDENT OF THE  
32 SENATE, THE SPEAKER OF THE HOUSE OF REPRESENTATIVES, THE MINORITY LEADER  
33 OF THE SENATE AND THE MINORITY LEADER OF THE HOUSE OF REPRESENTATIVES AND  
34 SHALL PROVIDE A COPY TO THE SECRETARY OF STATE. THE REPORT MUST CONTAIN  
35 ALL OF THE FOLLOWING:

36       1. THE IDENTIFICATION OF ANY CORPORATION OR ANY LIMITED LIABILITY  
37 COMPANY OR ANY AFFILIATE OF A CORPORATION OR A LIMITED LIABILITY COMPANY  
38 THAT:

39       (A) PURCHASED A SINGLE-FAMILY RESIDENCE IN THE PREVIOUS YEAR. THE  
40 REPORT MUST INCLUDE THE ZIP CODE OF EACH PURCHASE.

41       (B) SOLD A SINGLE-FAMILY RESIDENCE IN THE PREVIOUS YEAR. THE  
42 REPORT MUST INCLUDE THE ZIP CODE OF EACH SALE.

43       2. ANY OTHER INFORMATION THAT THE COMMISSION DEEMS NECESSARY.]>>

44 Enroll and engross to conform

45 Amend title to conform

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